

GOODWILL

In business, goodwill describes an intangible asset based on a company's reputation, including loyal customers and suppliers, brand name, and public profile. Goodwill arises when one company buys another for more than its book value (total assets minus total liabilities). For example, if Company A buys Company B for \$10 million but the

total sum of its assets and liabilities is \$9 million, the goodwill is worth \$1 million. According to International Financial Reporting Standards since 2001, goodwill does not amortize, so it does not appear as amortization in financial statements. However, if the value of goodwill falls (through negative publicity, for example) it can be recorded as an impairment.



NEED TO KNOW

- **Intangible assets** Non-physical assets, such as patents, trademarks, brand recognition, and copyright; their valuation is sometimes subjective
- **Patent** A license granted by a government or authority giving the owner exclusive rights for making or owning an invention

How to calculate depletion

Like amortization, depletion is calculated using the straight-line method (see pp.124–125) unless there is a particular reason to use another method.

In this example, a logging company buys a forest with an estimated 60,000 trees for \$10 million. The original salvage value is \$1.5 million, but the company spends \$500,000 on road building in the forest, bringing it down to \$1 million. The company cuts down 6,000 trees during each accounting period.



$$\frac{\text{COST} - \text{SALVAGE VALUE}}{\text{TOTAL UNITS}} \times \text{UNITS EXTRACTED} = \text{DEPLETION EXPENSE}$$

$$\frac{10,000,000 - 1,000,000}{60,000} \times 6,000 = \$900,000$$

